

ENGLISH **LIVE**

19

COMPREHENSION & VOCABULARY

UPSC / BANK PO / SSC / OTHERS

SESSION - 19

20th February, 2017



Let's Not Rush Into More Bank Mergers

The Union Cabinet's nod to the State Bank of India's (SBI) merger with its own five associate banks is welcome. It will place the country's largest lender among the top 50 global lenders, bring efficiency in its treasury operations and lower operating costs. Bigger size would allow SBI to finance large infrastructure projects and takeover deals with greater ease. Already, the SBI carries the tag, along with ICICI, of a domestic systemically important bank and, therefore, needs to set aside more capital than its peers to cover risks. The combined entity should be well capitalised.

However, the merger cannot fix the problem of bad loans. They must be resolved so that capital infusion does not end up



as provisioning against bad loans. Post 2009-10, SBI had gained market share in deposits after the merger of State Bank of Indore with itself. So, consolidation will be beneficial for deposit growth. However, employee integration could be tricky, apart from other reported challenges such as provisions for pension liability due to

differing employment benefit structures and synchronising accounting policies for recognition of bad loans.

According to analysis by Kotak Institutional Equities, SBI has 18% share in branches and 22% share in deposits and loans. It would be in the interest of the industry and the economy to not add to systemic risk. To keep banking competitive and to prevent the creation of banks that are too big to fail and of bankers who are too big to go to jail, the government should resist the temptation to rush into more bank mergers. India needs more payment banks and small banks to achieve financial inclusion, not gigantism. Let there be a couple of big banks, yet more new banks of different sizes and intense competition amongst them.

THE ECONOMIC TIMES
17th February 2017



DISCUSSION ON
20th Feb (Monday)



DISCUSSION ON
21st Feb (tomorrow)

To fill the vacuum after scrapping FIPB

February 7, 2017, 11:57 PM IST ET Edit in ET Editorials | Economy, Edit Page, India | ET

The government has done well to announce the decision to abolish the Foreign Investment Promotion Board (FIPB) in 2017-18. More than 90% of the foreign direct investment, in any case, comes through the automatic route and sectoral regulation has also become far more robust, obviating the need for the board that was set up in early 1990s. Advanced countries, by and large, welcome all foreign investment, but have institutional mechanisms to block any foreign investment proposal that hurts national interest and security. India must also have such institutional safeguards. The RBI is best placed to play the nodal agency for review; after all, all foreign investment into the country has to comply with its foreign exchange reporting requirements.



The government should enact a law to give the RBI powers that go beyond collection of information to refer proposals for vetting for possible security implications to relevant ministries of the Union government. The executive government can then decide on whether to prohibit or suspend a transaction. That decision and the factors that guided the decision must be placed before a committee of the legislature, for the sake of transparency.

Globally, there are varying institutional arrangements, backed by law, to determine if a foreign investment proposal threatens national security. The Committee on Foreign Investment in the US, for example, is required to give Congress confidential briefings on request. The President can act in rare cases. Whereas the Australian law empowers the Treasurer to block foreign investment proposals. India needs not just a robust arrangement but also stringent timelines to conclude an RBI-initiated review and report to Parliament. Most FDI proposals should sail through, anyhow.

THE ECONOMIC TIMES
8th February 2017

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Let's Not Rush Into More Bank Mergers

THE ECONOMIC TIMES

17th February 2017



Let's Not Rush Into More Bank Mergers

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- However, the merger cannot **fix** the problem of bad loans. They must be resolved so that capital **infusion** does not end up as **provisioning** against **bad loans**.
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Let's Not Rush Into More Bank Mergers

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THE ECONOMIC TIMES

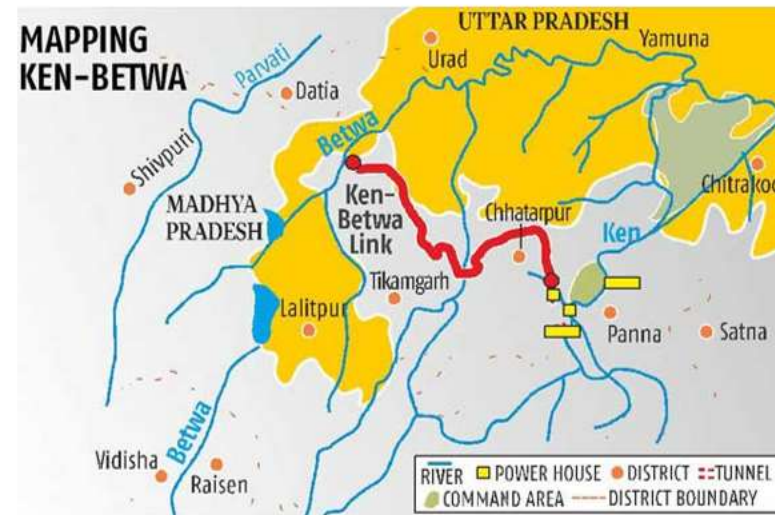
17th February 2017

The Union Cabinet's *nod* to the State Bank of India's (SBI) *merger* with its own five associate banks is welcome.



Nod

Union Govt. gave its **nod** for taking up Ken-Betwa link Project.



Nod

Symbol of agreement or approval



Merger



Established ... 1941
Headquarters ...
Hyderabad



स्टेट बैंक ऑफ त्रावन्कोर
State Bank of Travancore
A Long Tradition of Trust

Established ... 1945
Headquarters ...
Thiruvananthapuram



स्टेट बैंक ऑफ मैसूर
State Bank of Mysore
Working for a better tomorrow

Established ... 1913
Headquarters ...
Bengaluru



स्टेट बैंक ऑफ बीकानेर एण्ड जयपुर
STATE BANK OF BIKANER & JAIPUR

Established ... 1963
(Year of Merger)
Headquarters ... Jaipur



स्टेट बैंक ऑफ पटियाला
State Bank of Patiala
Blending Modernity With Tradition

Established ... 1917
Headquarters ... Patiala

- Merger of State Bank of **Saurashtra** with SBI took place in **2008** & State Bank of **Indore** with SBI took place in **2010**.

Merger

Two separate entities combine to create a new organization



Acquisition

Takeover of small e-commerce companies by big companies like Amazon / Flipkart occurs normally during the consolidation phase of e-commerce industry.

amazon.com

Flipkart



mime360

MYNTRA.com

appITERATE



PhonePe
Keep Payment Simple

Acquisition

Takeover of one entity by another / sometimes known as takeover (with a negative connotation)



Amalgamation



Amalgamation

Combination of two or more companies into a new entity.
Neither of the combining companies survives as a legal entity



Let's Not Rush Into More Bank Mergers

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THE ECONOMIC TIMES

17th February 2017

It will place the country's largest lender among the top 50 global lenders, bring *efficiency* in its *treasury operations* and lower operating costs.



Efficiency

To improve **efficiency** in operations, MNCs are shedding employees.



Efficiency

Company / Person uses resources such as time, materials, labour well without wasting any.



State Bank of India

THE BANKER TO EVERY INDIAN

1

RETAIL OPERATIONS

- House loans
- Personal loans
- Mortgage loans
- Credit card advances

2

WHOLESALE OPERATIONS

- Corporate loans
- Trade transactions
- Working capital transactions
- Project finance

3

TREASURY OPERATIONS

- Govt. securities
- Other approved securities
- Money market
- Shares / bonds
- Mutual funds



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ECONOMIC INFRASTRUCTURE



ROADS



RAILWAYS



PORTS



AIR PORTS



DAMS



POWER STATIONS



OIL & GAS PIPELINES



SOCIAL INFRASTRUCTURE



EDUCATION

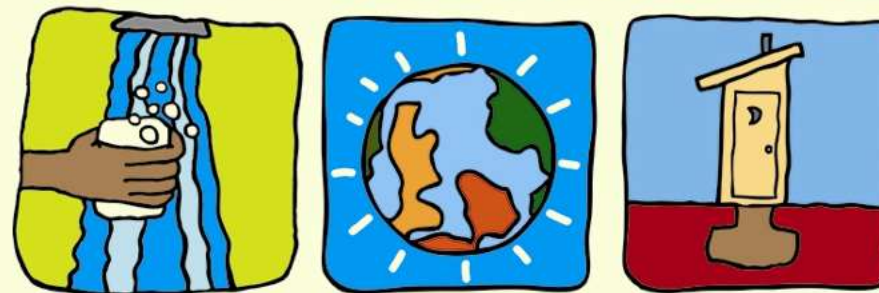


WATER SUPPLY



HOSPITALS

SANITATION FOR ALL

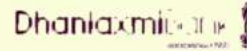


SANITATION



FINANCIAL INFRASTRUCTURE

BANKS



Reserve Bank of India



INSURANCE SECTOR



We cover you. At every step in life.





- There are 30 Global-Systemically Important Banks (G-SIBs).
- Top 3 at global systemic risk as felt by IMF ...
 - Deutsche Bank AG (Germany)
 - HSBC Holdings Plc (UK)
 - Credit Suisse Group (Switzerland)
- In India, we have 2 D-SIBs (Domestic-Systemically Important Banks) i.e., SBI & ICICI Banks.



State Bank of India

ADDITIONAL COMMON EQUITY TIER I CAPITAL

SBI ... 0.6%

ICICI Bank ... 0.2%

This is % of their risk-weighted assets,
fully achievable in a phased manner by
April 1st, 2019.

INDICATORS USED

- Size
- Inter-connectedness
- Substitutability
- Complexity



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However, the merger cannot *fix* the problem of bad loans. They must be resolved so that capital *infusion* does not end up as *provisioning* against *bad loans*.

**Fix****LIVE**

*They could not **fix** the problem of my air-conditioner, hence I bought a new one.*



*We **fixed** the bookcase to the wall.*

Fix

Repair / or solve some problem

Fix

To fasten something in position so that it cannot move



Infusion

LIVE

*The company needs
capital **infusion** of
Rs. 100 crore.*



Infusion

Provide more money or resources to make something stronger and work better.



HIGH GROSS NPAs

NON PERFORMING ASSETS

WHAT IS NON PERFORMING ASSET?

Interest and / or installment of principal remain overdue for a period of more than 90 days in respect of a term loan.

OR

The installment of principal or interest thereon remains overdue for two crop seasons for short duration crops/one crop season for long duration crops.

OR

If the cash credit account or overdraft account becomes out of order.



Provisioning

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Provisioning

Setting aside of money from profits to compensate a probable loss caused on lending a loan. It is to cover the risk.



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Consolidation

Consolidation of digital payment companies is inevitable.

The logo for Paytm, featuring the word "paytm" in a bold, sans-serif font. The "pay" is in dark blue and the "tm" is in a lighter blue.The logo for MobiKwik, featuring a stylized "M" in teal with a white outline, followed by the word "obiKwik" in a teal, sans-serif font.

Consolidation

Two or more companies or organizations coming together



Integration

Globalization means *integration* of a country's economy, with the global economy.



Integration

The process of combining two or more things into one.



Tricky

*Solving the problem of sharing of river waters between India and Bangladesh is quite **tricky**.*



सत्यमेव जयते



Tricky

Difficult



Synchronize

LIVE

*The lights were
synchronized with
the dance.*



Synchronize

To make it happen, at the same time



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Systemic risk

LIVE





FINANCIAL INCLUSION



Access to basic formal financial services which include **savings, remittances, credit, Govt. supported insurance and pension products** to small and **marginal farmers and low income households** at reasonable cost supplemented by **social cash transfers**



**Pradhan Mantri
Jeevan Jyoti Bima Yojana**

**Pradhan Mantri
Suraksha Bima Yojana**



Gigantic

LIVE

*The cost of providing
Chhatrapati Shivaji statue in
Maharashtra is **gigantic**.*



Gigantic

Extremely large



Intense

Intense heat wave conditions are prevailing across several parts of the country.



Intense

Extreme / very strong / strong emotions / opinions



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